

future earnings. The contrast between the Butte and Superior price-earnings ratio in 1915–1916 and that of these aircraft concerns in 1938–1939 is very striking.

Relationship of the Analyst to Such Situations. The analyst can deal intelligently and fairly successfully with situations such as Wright Aeronautical, Bangor and Aroostook, Firestone and Butte and Superior at the periods referred to. He could even have formed a worth-while opinion about Mullins early in 1927. But once this issue fell into market operators' hands it passed beyond the pale of analytical judgment. As far as Wall Street was concerned, Mullins had ceased to be a business and had become a symbol on the ticker tape. To buy it or to sell it was equally hazardous; the analyst could warn of the hazard, but he could have no idea of the limits of its rise or fall. (As it happened, however, the company issued a convertible preferred stock in 1928 which made possible a profitable hedging operation, consisting of the purchase of the preferred and the sale of the common.) Similarly with the airplane issues in 1939, the analyst could go no further than to indicate the obvious hazard that lay in treating as permanent a source of business that the whole world must necessarily hope was essentially temporary.

When the general market appears dangerously high to the analyst, he must be hesitant about recommending unfamiliar common stocks, even though they may seem to be of the bargain type. A severe decline in the general market will affect all stock prices adversely, and the less active issues may prove especially vulnerable to the effects of necessitous selling.

Market Exaggerations Due to Factors Other than Changes in Earnings:

Dividend Changes. The inveterate tendency of the stock market to exaggerate extends to factors other than changes in earnings. Overemphasis is laid upon such matters as dividend changes, stock split-ups, mergers and segregations. An increase in the cash dividend is a favorable development, but it is absurd to add \$20 to the price of a stock just because the dividend rate is advanced from \$5 to \$6 annually. The buyer at the higher price is paying out in advance all the additional dividends that he will receive at the new rate *over the next 20 years*. The excited responses often made to stock dividends are even more illogical, since they are in essence nothing more than pieces of paper. The same is true of split-ups, which create more shares but give the stockholder nothing he did not